

BUSINESS PRINCIPLES: CONCISE NOTES

Chapter- 1: Management & Leadership

1. Management.

1.1. **Definition.** Set of activities directed at the efficient and effective utilization of resources in the pursuit of one or more goals.

1.2. Management involves coordinating and overseeing the work activities of others so it is completed efficiently and effectively. **Management is a complex process.**

1.3. **Managers.** Managers are people who coordinate the work of others in order to achieve stated organizational goals.

1.3.1. A manager's job is about helping others do their work.

1.4. Levels of Management.

1.4.1. Managers.

- Managers are classified as first-line (or frontline) are the lowest level managerial employees.
- Generally oversee the performance of nonmanagerial employees who work on operational tasks.
- First-line managers across all organizations supervise about 93 percent of all nonsupervisory employees, making it a highly influential role.

1.4.2. Middle managers.

- Role involves managing in order to turn the organization's strategy into action.
- Responsible for specialist and team-leading line managers & for junior staff performance and productivity.
- Middle-level managers devote more time to organizational activities than top-level managers.

1.4.3. Top Management.

- At the highest level of an organization.
- Manage the organizational direction, **focusing on the management of ideas more than people.**
- Responsible for controlling and overseeing the entire organization, as well as developing goals, strategic plans, company policies, and making decisions on the direction of the business.

2. Organizations.

2.1. **Definition.** An organization is a deliberate arrangement of people to accomplish a specific purpose.

2.2. Primary elements of the organization include: **Mission, Vision, Values, Stakeholders.**

2.3. Characteristics of Organization: **Purpose, People, Structure.**

3. Evolution of Management.

3.1. Frederick Taylor Approach (1911).

3.1.1. Sought to determine the "**one best way**" that a job could be done.

3.1.2. The approach, called **scientific management**, was an effort to make manufacturing more efficient and reduce costs.

3.2. Henri Fayol Approach.

3.2.1. Suggested that the role of managers involved performing basic functions essential to business.

3.2.2. Fayol's management principles have been adapted and are known by their acronym— PODSCORB—**Planning, Organizing, Deciding, Staffing, Directing, Coordinating, Reporting, and Budgeting.**

3.3. Functions of Management.

3.3.1. **Planning.**

- Short term & Long term.
- Determines the direction of the organization.

3.3.2. **Organizing.** Organize the resources: **budget, material, people, equipment.**

3.3.3. **Directing.** Mobilize the resources on the course of action decided.

3.3.4. **Staffing.** As per the requirement of the organization.

3.3.5. **Coordinating.** Coordinate tasks & manage employees.

3.3.6. **Reporting.** Valuable because it offers visible evidence of management.

3.3.7. **Budgeting.** The manager is responsible for projecting budget needs, as well as the expenditure and control of the department's budget.

4. **Business Risks.** Businesses tended to place their risks in one of five buckets:

4.1. **Strategic Risks** - these involving competitors in the markets being served.

4.2. **Financial risks** - associated with how to fund business growth and manage company debt.

4.3. **Operational risks** - involving the exposure of the complete company value chain to myriad risks.

4.4. **Compliance or regulatory risks** - which can impact the financials and relate to new rules or legislation affecting how a business operates.

4.5 **Reputational risks** - the result of business mistakes or failures that can affect future operations and profitability.

5. Leadership.

5.1. **Great Man Theory.**

5.1.1. The term "**great man**" was used because, at the time, leadership was primarily thought of as a **male quality**, often tied to **military leadership**, was viewed as having a **natural, in-born capacity** for leadership-great **leaders are born**, not made.

5.1.2. The idea of being born to lead failed the test of practical experience and observation.

5.2. **Trait Theory.**

5.2.1. **Trait theory** assumes that people inherit certain qualities or traits that make them better suited to leadership.

5.2.2. Traits are a distinguishing quality of an individual.

5.2.3. Fails to take into account the unique work environment or the situation a leader finds himself or herself working in.

5.2.4. No definitive list of traits that can be applied to all leaders in all situations.

5.3. **Situational Theory.**

5.3.1. Situational theory proposes that leaders choose the best course of action based upon situational conditions or circumstances.

5.3.2. Decision making different in **unstable & stable environments.**

5.4. **Behavioral Theory.**

5.4.1. Leadership behavior is acceptable and satisfying to subordinates to the extent that the subordinates see such behavior as either an immediate source of satisfaction or as an instrument to future satisfaction.

5.4.2. Leadership behavior will be motivational to the extent that such behavior makes the satisfaction of subordinates' needs contingent on effective performance and complements the subordinate's environment by having the leader provide coaching, guidance, support, and rewards necessary to enable effective performance.

6. Leadership Styles.

- Leadership style is the behaviors of leaders that focus on what they do and how they act.

6.1. **Authoritarian Leadership Style.**

6.1.1. The leader perceives subordinates as needing direction and control.

6.1.2. They determine and direct work and how it is to be done and maintain influence and authority.

6.1.3. Positive outcome: ***improves efficiency and production.***

6.1.4. Negative outcome: ***minimizes employee development and growth.***

6.1.5. Authoritarians create ***discontent, hostility, and even aggression.***

6.2. **Democratic.**

6.2.1. Treats subordinates as fully capable of doing work on their own.

6.2.2. Democratic leaders ***guide subordinates rather than command things.***

6.2.3. Employs mutual praise that produces higher morale and motivation.

6.2.4. The negative side: ***requires more time and commitment by the leader.***

6.2.5. Work is accomplished effectively but it is done less efficiently.

6.3. **Laissez – Faire.**

6.3.1. The individual employing this style ignores workers and is ambivalent of their motivations and makes no attempt to influence the work or workers.

6.3.2. Outcomes of this style are largely negative.

7. **Fatal flaws that derail leaders.**

7.1. **Inability to Learn from Mistakes.**

7.2. **Lack of Core Interpersonal Skills and Competencies.** This comes in one of two forms- sins of commission (things you did) and sins of omission (things you should have done).

7.3. **Lack of Openness to New Ideas.** Whether a form of risk aversion or arrogance, this flaw reduces the opportunity to develop novel or adaptive solutions to problems.

7.4. **Lack of Accountability.** Often evidenced by a failure to take blame or a willingness to accept all the credit, a lack of accountability can manifest itself in four different areas: ***behavior with subordinates; behavior with senior management; behavior with other groups in the organization; and personal attitudes and values.***

7.5. **Lack of Initiative.** Another form of risk aversion, this flaw translates into a failure to make (good) things happen.

8. **Values.**

8.1. Values represent the foundational ideas on which a company is formed and they serve to guide the actions of all employees.

8.2. Challenge for the leader is to be faithful to his or her values while being sensitive to the values of the followers.

8.3. By adhering to values, leaders create credibility and are thought to be more ethical.

9. Ethical Leadership.

9.1. Ethics is about the "**rightness**" (fairness/correctness) of actions and motives of a leader's behavior.

9.2. Ethical leadership is about moral influence-getting people to do the right things in the right way and for the right purpose.

9.3. "**Triple Bottom Line**" involves the interaction of "**People, Planet, and Profit.**"

9.4. **Six Factors for Leadership Ethics.** Character, actions, goals, honesty, power, values of the leader.

Chapter – 2: Decision Making

1. Critical Thinking.

1.1. Critical thinking is the use of knowledge and intelligence to arrive at justifiable positions on which to base decisions.

1.2. Critical thinking is based on qualities that have universal value- **clarity and accuracy, consistency and relevance, depth and breadth, and integrity and fairness.**

1.3. Critical thinking creates knowledge and improves organizational learning necessary for strategic, conceptual, innovative, and integrative work.

1.4. **What Critical Thinking is not.**

1.4.1. Critical thinking is not about finding fault or flaws.

1.4.2. Critical thinking is not a threat to individuality or personality.

1.4.3. Not a belief system employed by only a few.

1.4.4. Not a scientific process that arrives at the most persuasive arguments.

1.5. **Critical thinking Vs Creative Thinking.**

Creative Thinking	Critical Thinking
Producing Ideas	Producing a Solution
Generative	Analytic Convergent
Divergent	Probability
Possibility	Makes Judgment
Suspends Judgment	Focused
Diffused	Objective
Subjective	Producing a Solution
Novelty	Analytic Convergent

2. Cognitive Biases.

2.1. **Cognitive biases** are systematic errors in thinking that can influence our perception and lead to poor decision-making.

2.2. It is not easy to recognize cognitive bias because it involves unconscious thinking.

2.3. **Types of Biases.**

2.3.1. **Attribution Error** is the tendency to overemphasize personal characteristics and ignore situational factors in judging the behavior of others.

2.3.2. **Overconfidence Bias** is an unrealistic views of one's own performance and abilities.

2.3.3. **Anchoring Effect** is focusing solely on initial information gathered and ignoring subsequent information.

2.3.4. **Selective Perception** occurs when selecting, organizing, and interpreting events based on one's personal perception to explain an incident.

2.3.5. **Confirmation Bias** is the one bias that most often gets in the way of thinking because it limits the search for and interpretation of information to that which confirms preconceptions.

2.4. Two additional biases reflect mistakes in thinking that are commonly seen in everyday life - **escalation of commitment and the framing effect**.

2.4.1. **Escalation of Commitment**. This bias occurs when an individual or group facing increasingly negative outcomes from a decision, action, or investment continues the behavior instead of altering course.

2.4.2. **Framing Effect**. This refers to the observation that the manner in which data is presented can affect decision-making-how a question is framed will influence the answers.

3. Intuition & Heuristics.

3.1. **Intuition.**

3.1.1. Intuition is a combination of factors that are the result of accumulated judgment.

3.1.2. Intuition arises holistically and quickly, without conscious awareness of the underlying mental processing of information.

3.2. **Heuristics.**

3.2.1. Heuristics are rules of thumb used to simplify decisions.

3.2.2. Heuristic methods are mental shortcuts that ease the cognitive load of making a decision and can be used to speed up the process of finding a quick, satisfactory solution.

4. Decision Making.

4.1. Decision-making is the process of making a choice from available alternatives.

4.2. Decisions are not just about gathering information-they also involve approaches that should make the work of decision-making more informed.

4.3. There are two types of decision-making problems to solve: **well-structured and ill-structured**.

4.3.1. **Well Structured problems.**

- Are straightforward, familiar, and easy to define.
- Identified as a result of an audit, review, or the application of a checklist.
- Information to solve such problems is readily available and the goals are clear.
- Evident at the lower levels of an organization.
- Best handled by programmatic decisions that do not require a lengthy or expensive process, nor the input of many.

4.3.2. **Ill Structured Problems.**

- Are new or unusual problems for which information is ambiguous or incomplete.
- Form the bulk of the problems facing business and security professionals.
- Not routine and are more difficult and unusual to resolve,
- Require reasoning and judgment and demand unique solutions which are custom made.
- There are four basic styles for decision-making when addressing ill-structured problems: **directive style, analytical style, conceptual style, and behavioral style**.

Decision makers that use the **directive style** have a **low tolerance for ambiguity** and seek to be efficient, use logic, and make fast decisions. This style lends itself to **short-term decisions**.

The use of the **analytical style** focuses on **longer-term goals** that require decisions along the way. By necessity, this style embraces a **greater tolerance for ambiguity**, seeks more information, and considers more alternatives as it tries to adapt or cope with unique situations.

The **conceptual style** of decision-making has a **high tolerance for ambiguity**, is creative, taps into intuition, and focuses on the long term.

The **behavioral style** has a **low tolerance for ambiguity**, is less intuitive, tries to avoid conflict, and seeks the acceptance of others.

4.4. Conditions under which decision making occurs.

4.4.1. Certainty.

- Certainty is a situation for which all outcomes are known.
- This is the most ideal and rational because it leads to the best decision.
- It is the least realistic because neither the external nor internal environment is static.

4.4.2. Risk.

- A situation where the decision maker can estimate the potential of failure.
- The decision makers recognize the value of experience and knowledge—understanding the risks demands critical thinking.

4.4.3. Uncertainty.

- Uncertainty is a situation in which the decision maker has no available probability estimates.
- The most challenging condition, because the situation offers little information and the decision maker may have limited experience.
- Often triggers a reliance on intuition, hunches, and heuristics that might bias rather than enhance the decision-making; it **demands critical thinking**.
- Uncertainty is a situation in which the decision maker has no available probability estimates.

5. Decision Making Process.

5.1. **Identifying the problem.** The most important part of the process because if the problem is not effectively identified, the decision made might not offer the correct or proper solution.

5.2. **Identifying decisional criteria.** These are the factors that affect and limit the decision.

5.3. **Developing alternatives.** This suggests the need to be creative, but care should be taken not to arrive at any and all alternatives.

5.4. **Allocating weights to the alternatives.** This raises questions about whether all alternatives are equal and, if not, how to rank them. This alone might affect the decisional outcome when the alternatives are limited.

5.5. **Analyzing the alternatives chosen.** This includes asking what processes, decisional tools, or data might be used to analyze the alternatives.

5.6. **Selecting the alternative.** This step demands its own decisions and centers around selecting the best alternative that will maximize the decision and solve the problem.

5.7. **Communicating and implementing the chosen alternative.** Deciding on the alternative that will solve the problem is critical, but executing it requires the need to gain **commitment-without commitment**.

5.8. **Evaluating the decision effectiveness.** Even when the best of decisions seems to have been made, effectively communicated, and put into place, the final judgment is whether it actually solved the problem.

6. Group Decision Making Process.

6.1. Group decision-making is the collective activity wherein several persons interact simultaneously to arrive at a solution to a given problem.

6.2. **Crowdsourcing** involves obtaining work, information, or opinions from a large group of people.

6.3. There are two well-known forms of dysfunctional group decision-making worth discussing: **Groupthink and the Abilene paradox.**

6.3.1. **Groupthink.**

- A psychological phenomenon that occurs within a group of people in which
- The desire for harmony or conformity in the group results in an irrational or dysfunctional decision-making outcome.
- Groupthink is a pattern of thought characterized by self-deception, forced
- Consent, and conformity to group values and ethics.
- Creates an overestimation of the group's power, morality, legitimacy, and makes the members ignorant of the consequences of their decisions or actions.

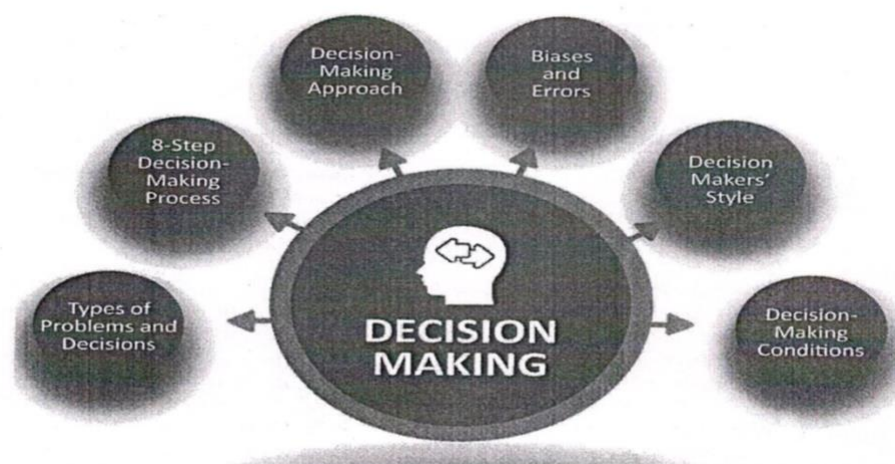
6.3.2. **Abilene Paradox.**

- Group members collectively decide on a course of action that is counter to the preferences of many or all of the individuals in the group.
- This phenomenon is the result of poor group communication.
- Abilene paradox can occur when individuals experience action anxiety/ stress.
- The Abilene paradox differs from Groupthink in significant ways. Most notably, in Groupthink individuals are not acting contrary to their conscious wishes and generally feel good about the decisions the group has reached.

7. Big Data & Decision Making.

7.1.1 Big data is the vast amount of quantifiable information that can be analyzed by highly sophisticated processing.

7.2. Big data is good at detecting correlations, it does not explain why correlations are meaningful.



Chapter – 3: Strategy & Its Importance

1. The Concept of Strategy.

1.1. A strategy is a goal-oriented set of plans and actions that enable a business to compete effectively.

1.2. **Strategy Vs Tactics.** Strategy is about the plans to achieve an established goal while tactics must be aligned with strategy, they are the adaptive actions taken during the effort to achieve that goal.

1.3. Security must ensure that their strategies, objectives, and goals are aligned with those of the larger company.

2. Strategy : Competing Differently.

2.1. A company's strategy should provide direction and guidance as to what a company should and should not do.

2.2. Making the wrong strategic moves could lead to operational distraction, organizational confusion, and wasted time and resources.

3. Vision, Mission, Values & Strategic Management Process.

3.1. Strategy is about doing things differently from competitors in ways that enable success.

3.2. Strategy is developed based upon a set of assumptions and hypotheses about how the competitive market is likely to evolve, and in what ways the competition may act that is consistent with their resources and capabilities.

3.3. **Strategic Management Process.**

3.3.1. The strategic management process is a sequential set of analyses and decisional choices.

3.3.2. The strategic management process is a linear process that requires:

- Establishing a strategic **vision, mission and a set of core values.**
- Setting objectives for measuring the firm's performance and tracking its progress.
- Crafting a strategy to move the firm along its strategic course to achieve objectives.
- Executing the chosen strategy efficiently and effectively.
- Monitoring developments, evaluating performance, and initiating corrective actions.

3.4. **Vision Statement.**

3.4.1. A strategic vision describes management's aspirations for the company's future & the course and direction charted to achieve them.

3.4.2. Should be business specific.

3.4.3. Should be a compelling description of the future of the company as it pursues its strategic plan.

3.5. **Mission Statement.**

3.5.1. The mission is a statement of the company's long-term purpose that explains the overall reason the company exists.

3.5.2. Long-term purpose and establishing the identity by answering "**who we are, what we do, and why we are here.**"

3.5.3. **Earning a profit is an objective, not a mission.**

3.5.4. **Vision Vs Mission.** Vision portrays a firm's aspirations for its future ("**where we are going**") and the mission describes the scope and purpose of its present business ("**who we are, what we do, and why we are here**").

3.6. **Values Statement.**

3.6.1. Core values are the beliefs, traits, and behavioral norms that the firm's personnel are expected to display in conducting business and pursuing the strategic vision and mission.

3.6.2. Values reflect management's beliefs and the culture of the company.

4. Objectives & Goals.

4.1. In strategy, objectives and goals are different. **Objectives** are the measures of progress being made toward a goal. A **goal** is the desired outcome.

4.2. Objectives are **specific and measurable**, can be - short-term or long- term.

4.3. Objectives and goal setting are **top-down processes** that extend from senior management to the work units.

4.4. To be viewed as realistic by management, objectives and/or goals should be clearly focused efforts that engage employees – **push, urgency, intent, performance.**

5. External & Internal Analyses.

5.1. **External analysis** serves to identify critical threats and opportunities in the competitive environment and how the firm's competition may evolve and respond.

5.2. **Internal analysis** serves to identify the organizational resources and capabilities that can help achieve the stated objectives most effectively.

External Analyses: Opportunities & Threats in environment Internal Analyses: Strengths & Weakness in organization
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5.3. **Strengths** are internal characteristics of an organization that give it an advantage over others.

5.4. **Weaknesses** are controllable internal characteristics that place an organization at a disadvantage relative to others.

5.5. **Opportunities** are attractive external factors for existing or developing the business/ organization.

5.6. **Threats** are uncontrollable external elements in the environment that could cause trouble or difficulties.

- | |
|---|
| <ul style="list-style-type: none">• Strengths identified can be the foundation for strategy• Weaknesses that impair the pursuit of opportunities can be corrected• Opportunities best suited to the organizational strengths can be exploited• Threats can be addressed to minimize risk |
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6. Crafting a Strategy.

6.1. Developing a strategy is a linear process—one that progresses straight from one stage to another, with a **clear starting and ending point.**

6.2. Strategy falls into one of two categories—**business-level strategies and corporate-level strategies.**

6.3. A **corporate-level strategy** is concerned with the strategic decisions a business makes that affect the entire organization and decides what industries it wants to compete within.

6.4. A **business-level strategy** is a carefully designed methodology that aids companies in implementing and carrying through with actions designed to meet the financial and other goals set by that business.

6.4.1. **Cost leadership-based strategies** encourage the companies to operate with the idea that any money spent on doing business must be on the least cost possible.

6.4.2. **Differentiation strategy**, the company will embrace higher costs to enable the development of unique, quality products or services for which the company can receive a premium payment.

6.5. **Functional strategy** is about how to manage a particular activity within a business in ways that support the larger business strategy. An important point to make about functional strategy is that it is not, nor can it be, the basis for competitive advantage.

6.6. **Execution of security strategy results in a comparative & Competitive advantage.**

7. Importance of Adaptive Strategy.

7.1. Management recognizes the need to adapt to achieve success because rivals are doing the same thing.

7.2. **Intended strategy** is the chosen strategy a firm thought they were going to pursue.

7.3. **Emergent strategy** is the strategy that has been adapted to the situation.

7.4. **Realized strategy** is the strategy a company actually pursues.

7.5. Adapting strategies enable companies to capture business opportunities as they emerge.

8. Tests for Strategy.

8.1. **The Fitness Test.** How well does the strategy fit the company's situation? A strategy has to match the industry's competitive conditions, the market opportunities, as well as any other pertinent aspects in which the business operates.

8.2. **The Competitiveness Test.** Is the strategy helping the company pursue and achieve a better competitive position? Strategies must produce a performance that offers a competitive benefit over rivals.

8.3. **The Performance Test.** Is the strategy producing superior company performance? Two kinds of performance indicators - First, market standing & Second, is the company's performance reflected by profitability.

9. Competitive Advantage.

Competitive advantage is the ability to offer consumers greater value, either by means of lower prices or by providing greater product or service benefits that justify higher prices.

A firm has competitive advantage when it can do something that rivals cannot do, in order to create better value.

Economic value-the value proposition-is the perception of benefits a customer receives from a product or service as compared to the financial cost to the customer.

A company can achieve competitive advantage by having a product or service that is referred to as **VRIN- valuable, rare, inimitable (incapable of being replicated), and non-substitutable.**

Chapter – 4: Evaluating External Environment

1. External Competition.

1.1. The external business environment consists of economic, demographic, socio-cultural, political-legal, technological, and international-global sectors.

1.2. When threats are very high, competition in an industry begins to approach what is called **perfect competition**. When all threats are very low, competition in the industry is looked upon by economists as a **monopoly**.

1.3. **Perfect competition** occurs when there are large numbers of competing firms, the products being sold are homogenous with respect to cost and attributes, and the cost for market entry or exit is low.

1.4. **Monopolistic competition**

1.4.1. When an industry has large numbers of competing firms and a low cost of entry into and out of the industry.

1.4.2. Monopolistic industries consist of a single firm, and entry into such an industry is very costly.

1.5. **Oligopolies** are characterized by a small number of competing firms with homogenous products and high industry entry and exit costs.

1.6. Two strategically relevant factors and elements influence a firm's performance: **the macro environment and the immediate industry and competitive environment**.

2. Macro Environment.

2.1. The macro environment encompasses the broad environmental context in which a company's industry is situated and that the company cannot control.

2.2. External analysis begins by looking at the macro-level environment and its six principal components - **economic, demographic, socio-cultural, political-legal, technological, and international-global**.

2.3. **Economic Sector.**

2.3.1. This includes data regarding the overall economic health of the country or region that a company operates within and will vary over time.

2.3.2. Periods of relative **prosperity**: demand for goods and services is high and unemployment low.

2.3.3. The alternating pattern of prosperity followed by recession and back to prosperity is called the **business cycle**. Each business cycle has four stages: **expansion, peak, contraction & trough**.

2.4. **Demographic Sector.**

2.4.1. The distribution of individuals in a society - **Demography**.

2.4.2. Determines whether specific products or services will appeal to certain customers and how many potential customers exist.

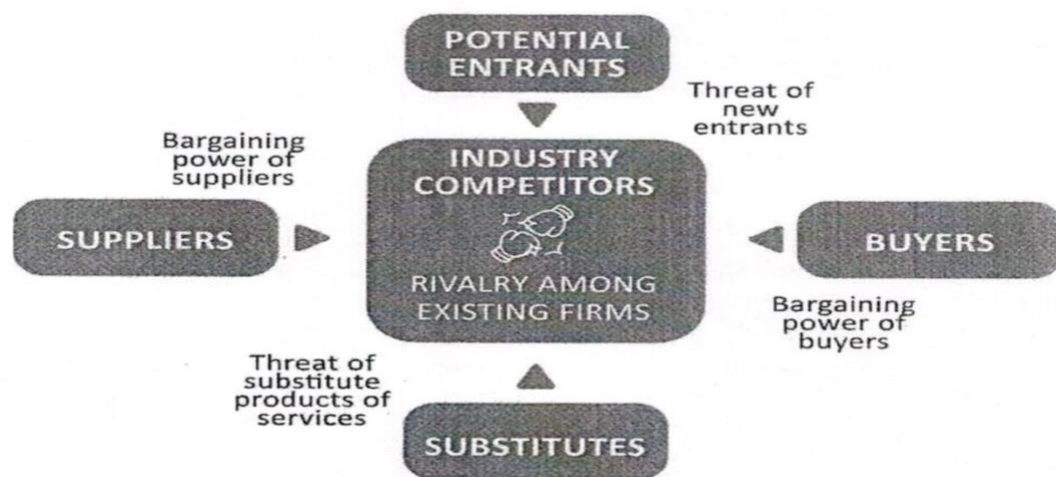
2.5. **Socio-cultural Sector.** Refers to a country's culture and what it determines to be right and wrong, what is acceptable and unacceptable behavior, or what is fashionable and unfashionable.

2.6. **Political Legal Sector.** This includes the laws, regulations, judicial decisions, and political forces at all levels of government.

2.7. **Technological Sector.** looks for scientific or technological innovations that create both opportunities and threats. Two areas most affected by technology are product research and development, where innovations like nanotechnology improve products and enhance consumer choices.

3. The Five Forces Framework.

3.1. The five forces framework is a model that identifies and analyzes competitive forces that directly shape every industry and determine an industry's weaknesses and strengths. The analysis is used to identify an industry's structure and determine strategy.



3.2. Industry Rivalry.

3.2.1. The strongest of the competitive forces is industry rivalry.

3.2.2. **Factors affecting.**

- Rivalry increases when buyer demand is growing slowly or declining.
- Rivalry increases when it becomes less costly for buyers to switch brands.
- Rivalry increases as the products became less differentiated.
- Rivalry increases when industry members have too much inventory or idle production capacity.
- Rivalry increases as the number of competitors increase and as they become more equal in size and capabilities.
- Rivalry increases as the diversity of competitors increases in terms of long-term objectives, strategies, and goals.
- Rivalry increases when unprofitable firms face high barriers to leave a market.
- When the rivalry is strong, the battle for market share is vigorous that the profit margins of businesses are squeezed.

3.3. Threat of New Entrants.

3.3.1. New Entrants - creates more products for sale and, absent differentiation, will reduce the power of product pricing.

3.3.2. The threat of entry is low when barriers are high –

- Incumbent firms have sizable economies of scale in production, distribution, advertising, or other activities.
- Incumbent firms have other hard-to-replicate cost advantages over new entrants.
- Customers have strong brand preferences and a high degree of loyalty to certain sellers.
- Incumbent firms have notable patents and other forms of intellectual property protection.

3.4. Threat from substitutes,

3.4.1. The competitive pressures from substitute products depends on the following factors:

- The presence of good substitutes creates competitive pressures by placing a ceiling on the prices current industry.
- Buyers view the substitutes as comparable or better in terms of quality, performance, or other relevant attributes (eg., fashion or design). If consumers decide the value of the substitute is sufficient to outweigh the higher price, they will switch to the substitute.
- The costs of switching to the substitutes is low-not just price, but time or decisional requirements—it is easier for consumers to switch.

3.5. **Supplier Bargaining Power.**

3.5.1. Supplier bargaining power is stronger when:

- Demand for suppliers' products is high and the products are in short supply.
- Suppliers provide differentiated (novel) products that enhance performance or infer the perception of quality.
- difficult or costly for buyers to switch their purchases to another supplier. ***The higher the costs for switching, the greater the suppliers' bargaining power.***
- The supplier industry is dominated by a few large companies.
- Buyers are unable or unwilling to integrate backward to self-manufacture items they are purchasing from suppliers.
- Good substitutes are not available for the suppliers' products, so buyers have little choice but to pay higher prices.

3.6. **Buyer Bargaining Power.**

The factors determining the strength of the bargaining power of buyers includes: Buyer demand of supplier products is weak or declining.

- Due to industry standards or other factors, product differentiation is weak.
- The cost for buyers to switch from seller to seller is low because good substitutes are available.
- Buyers present a credible threat to backwards integrate into the business of the sellers.
- Buyers have choices about purchasing.
- When buyers are earning low profits, their price sensitivity increases and may cause them to delay or negate purchase intent.

4. **Matching Strategy to Competitive Conditions.**

4.1. The rarest and most extreme situation is when all the forces are strong, which can drive the industry into unacceptably low levels of profitability, making the industry unattractive for entry or forcing companies to exit the industry because of an inability to capture a profitable.

4.2. When the overall impact of the five forces is moderate or weak, an industry is deemed attractive because the average member can achieve reasonable profits in return for their investment.

4.3. When all five forces are weak, all competitors can make a decent profit.

4.4. In order to develop appropriate strategies, accurately identify the competitive pressures, and then gain a deep understanding of the state of competition in the industry.

4.5. Nature of the industry life cycle-development, rapid growth, maturity, market saturation, slowing growth, stagnation, and decline-can drive industry change.

5. **Strategic Group Analysis.**

5.1. Strategic group analysis is a technique for ***identifying different market or competitive positions*** that rival firms occupy in the same industry.

5.2. Within an industry, companies commonly sell in different ranges of price and quality.

5.3. The best technique for revealing the market positions of industry competitors is called strategic group mapping.

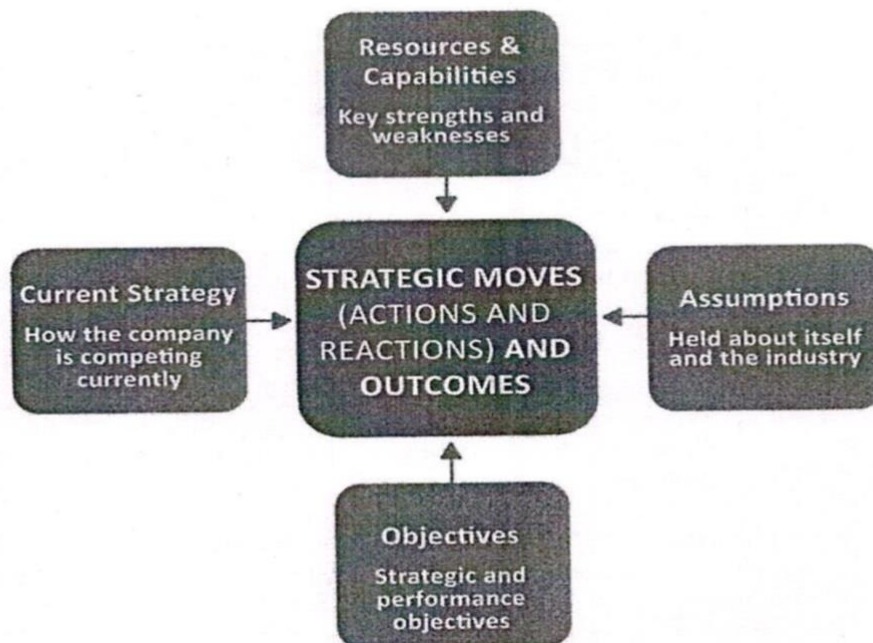
5.4. A strategic group consists of those **industry members with similar competitive approaches and positions in the market**.

5.5. Evaluating strategy options requires examining what strategic groups exist and identifying the companies within each group to determine if a competitive gap exists—a place with the opportunity to compete afresh and capture new demand.

5.6. This opportunity could be based on geography, product pricing, product attributes, or gaps in product portfolio.

6. **Competitor Analysis.**

6.1. Studying competitors' past behavior and preferences provides a valuable perspective in anticipating what moves rivals are likely to make next and what might be necessary to outmaneuver them in the marketplace.



6.2. **Four Dimensions of Competitor Analysis.**

6.2.1. **Current Strategy.** Predicting a competitor's next moves requires an understanding of each rival's current strategy as an indicator of its pattern of behavior and likely strategic options.

6.2.2. **Objective.** An appraisal of a rival's objectives should include not only financial performance but strategic objectives.

6.2.3. **Resources and capabilities.** A rival's strategic moves and countermoves are both enabled and constrained by the set of resources and capabilities the rival possesses.

6.2.4. **Assumptions.** What a rival's top management thinks about its strategic situation can have an impact on how the company behaves.

Chapter - 5 : The Internal Environment

1. How well is Company's Strategy is Working.

- 1.1. A company's competitive approach should be examined by asking what moves the company has recently made to attract customers and improve market position.
- 1.2. Specific indicators of how a company's strategy is working;
 - 1.2.1. Trends in the company's sales and earnings growth,
 - 1.2.2. Trends in the company's stock price,
 - 1.2.3. Company's overall financial strength,
 - 1.2.4. Company's customer retention rate,
 - 1.2.5. Rate at which new customers are acquired.

2. What are the Company's Most Important Resources.

- 2.1. A company's resources and capabilities represent its competitive assets and are determinants of its competitiveness and ability to succeed in the marketplace.
- 2.2. **Identifying Company's Resources.**
 - 2.2.1. A company's resource is an asset owned or controlled by the company.
 - 2.2.2. The resources may be financial, physical, human, tangible, intangible, or structural-cultural in nature.
 - 2.2.3. Types; **Tangible & In tangible.**
- 2.3. **Identifying Company's Capabilities.**
 - 2.3.1. A capability is the capacity learned over time to perform some internal activities competently.
 - 2.3.2. Capabilities are knowledge-based and embody the firm's tacit knowledge because they reside in the people doing the work, or as part of a firm's intellectual capital or organizational processes and systems.
 - 2.3.3. A capability is the ability of the firm to perform some internal activity effectively.
 - 2.3.4. Resource bundles are a linked and closely integrated set of competitive assets centered around more cross-functional capabilities.

3. What are Company's Strength's & Weaknesses.

- 3.1. Company's resources & capabilities are valuable if they exploit the opportunities & neutralize the external threat.
- 3.2. A strength is something a company is good at doing or an attribute that enhances its competitiveness in the marketplace.
- 3.3. A competency is an activity that a company has learned to perform with proficiency.
- 3.4. A distinctive competency is a capability that enables a company to perform a particular set of activities well, often better than rivals.
- 3.5. A core competency is an activity that a company performs proficiently and that is also central to its strategy and competitive success.
- 3.6. A weakness is a competitive deficiency. Weaknesses are internal shortcomings that constitute competitive liabilities.
- 3.7. The opportunities that match a company's competitive assets offer the best prospects for growth and profitability.
- 3.8. A company's internal strengths should always serve as the basis for its strategy, because it logically places heavy reliance on a company's best assets to attract customers and compete successfully against rivals.

4. Company's Value Chain.

- 4.1. A value chain identifies the company's primary and support activities that are used to create customer value.

- 4.2. Firms that use their resources and capabilities to exploit opportunities or neutralize threats will see an increase in their net revenues or a decrease in their costs, or both.
- 4.3. The underlying intent of a company's activities is to create value for buyers and profitability for the company.
- 4.4. The value chain has two broad categories of activities:
 - 4.4.1. **Primary activities**, which are those foremost in creating value for customers and are considered the money-making activities,
 - 4.4.2. **Secondary or support activities**, which are those that facilitate and enhance the performance of the primary activities.
- 4.5. **Benchmarking** is a potent tool for improving a company's internal activities based on learning how other companies in the same industry perform them.
- 4.6. **Best practices** outline a method of performing an activity that consistently delivers superior results compared to others; best practices can transcend industries and are often discovered through benchmarking.

5. Is Company Competitively Stronger or Weaker than its Rivals.

- 5.1. The most common method to assess company's position involves developing quantitative strength ratings for the company and rivals.
- 5.2. The strategic implications of the competitive strength assessment are:
 - 5.2.1. The higher the weighted strength rating, the stronger its overall competitiveness.
 - 5.2.2. Firms with high competitive strength scores are good sources for benchmarking.
 - 5.2.3. Strength ratings can be useful in deciding what strategic moves to make.

Chapter – 6: Business Level Strategies

1. Types of Generic Competitive Strategies.

- 1.1. Strategic choices generally fall into two large categories: business-level strategies and corporate-level strategies.
- 1.2. The two biggest factors that distinguish one competitive strategy from another are **Cost & Differentiation**.
- 1.3. Strategy Options:
 - 1.3.1. **A broad low-cost provider strategy**-to achieve lower overall costs than rivals on by underpricing.
 - 1.3.2. **A broad differentiation strategy**-to differentiate the company's products or services from those of rivals.
 - 1.3.3. **A focused low-cost strategy**-concentrating on the needs and requirements of a narrow buyer segment (market niche).
 - 1.3.4. **A focused differentiation strategy**-concentrating on a narrow buyer segment (market niche) and seeking to outperform rivals by offering niche buyers customized product attributes that meet their tastes.
 - 1.3.5. **A best-cost provider strategy**- to incorporate upscale product attributes at a lower cost than rivals.

2. Cost Strategies.

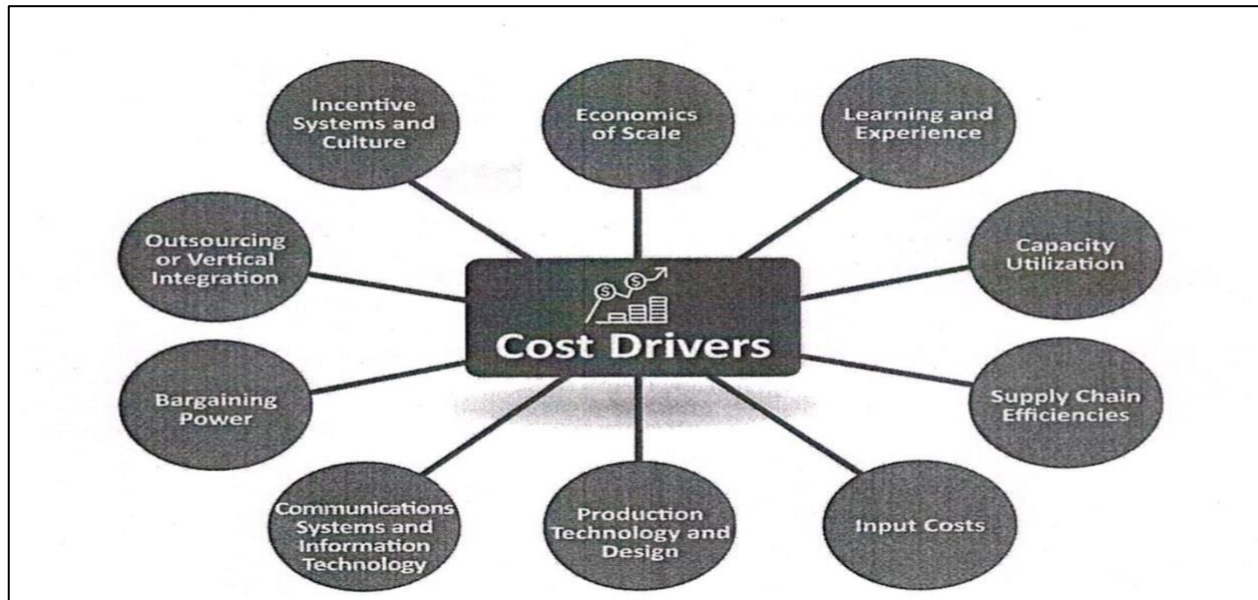
- 2.1. An overall low-cost provider seeks lower costs systemwide, when creating and delivering a product that consumers value.

2.2. When there is a risk that rivals will retaliate with their own lower prices, it becomes more appealing to employ the option of low-cost production to earn a high enough profit margin on each unit sold.

2.3. Ways to achieve lower cost as compared to the rivals.

2.3.1. Perform the value chain activities more cost-effectively than rivals.

2.3.2. Revamp the firm's overall value chain to eliminate or bypass some cost producing activities.



2.4. **Cost Drivers.**

2.4.1. **Economies of scale** are achieved when more units of a good or service can be produced on a larger scale, yet with fewer input costs.

2.4.2. **Capacity Utilization.** Balance between the fixed and the variable cost.

- A fixed cost is a cost that does not change with an increase or decrease in the amount of goods or services produced or sold.
- A variable cost is a corporate expense that changes in proportion to production output.

2.5. **Revamping Value Chain System to Lower Costs.**

2.5.1. Selling directly to consumers and bypassing the activities and costs of distribution and dealers.

2.5.2. Streamlining operations by eliminating work or activity that adds little value or is unnecessary.

2.5.3. Reducing materials handling and shipping costs by having suppliers locate their plants or warehouses close to the company's own facilities.

2.6. Low-cost provider strategy becomes increasingly appealing and competitively powerful when:

2.6.1. Price competition among rival sellers is vigorous.

2.6.2. The products of rival sellers are essentially identical.

2.6.3. It is difficult to achieve product differentiation in ways that have value to buyers.

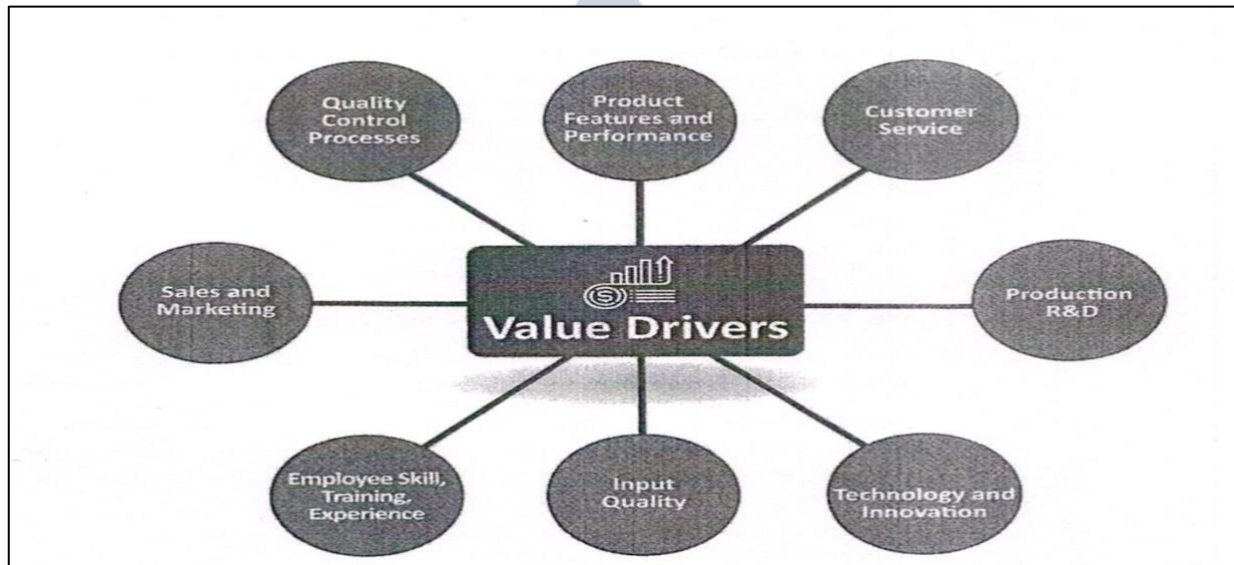
2.6.4. Buyers incur low costs in switching their purchases from one seller to another.

3. **Differentiation Strategies.**

3.1. Differentiation strategy aims to distinguish a product or service from those offered by the competitors in the market. It entails development of a product

or service that is unique for the customers in terms of product design or features.

- 3.2. A broad differentiation strategy achieves its aim when a wide range of buyers finds the company's offering more appealing than that of rivals and worth a higher price.
- 3.3. Successful differentiation allows a firm to do one or more of the following:
 - 3.3.1. Command a premium price for its product
 - 3.3.2. Increase unit sales because the differentiating features win buyers
 - 3.3.3. Gain buyer loyalty to the brand
- 3.4. The eight value drivers to enhance differentiation:



- 3.5. Two basic approaches to enhancing differentiation through changes in the value chain system.
 - 3.5.1. Continuing with channel allies to enhance customer value.
 - 3.5.2. Coordinating with suppliers to better address customer needs.
- 3.6. Differentiation Strategy works best :
 - 3.6.1. Buyer needs and uses of the product are diverse. Eg: Subway
 - 3.6.2. There are many ways to differentiate the product or services that have value to buyers. Eg : Hotel Chains
 - 3.6.3. Few rival firms are following a similar differentiation strategy.
 - 3.6.4. Technological change is fast-paced and competition revolves around rapidly evolving product features.

Process | Performance | Protection

Chapter – 7: Corporate Level Strategies

Corporate-level strategies are actions firms take to gain competitive advantage by operating in multiple markets or industries simultaneously.

In order to develop a corporate strategy, firms must look at how the various businesses they own fit together, how they impact each other, and how the parent company is structured in order to optimize human capital, processes, and governance.

1. Diversification Strategy.

1.1. Diversification strategies are used to expand firms' operations by adding markets, products, services, or stages of production to the existing business.

1.2. The purpose of diversification is to allow the company to enter lines of business (i.e., markets) that are different from current operations.

1.3. Task of crafting a diversification strategy falls to the **top-level executives** and involves three distinct facets:

1.3.1. Picking new industries to enter and deciding on the means to entry.

1.3.2. Pursuing opportunities to leverage cross-business value chain relationships, where there is a strategic fit, to attain competitive advantage.

1.3.3. Initiating actions to boost the combined performance of the corporation's collection of businesses.

1.4. ***The decision to diversify must start with a strong economic justification.***

2. Approaches to Diversification.

2.1 Acquisition of an existing Business.

2.1.1. Acquisition is a popular means of diversifying into another industry.

2.1.2. Commonly used to access resources and capabilities that are complementary to those of the acquiring firm and cannot be easily or quickly developed internally.

2.2. Through Internal Development.

2.2.1. Involves starting a new business subsidiary from scratch.

2.2.2. Internal development has become an increasingly important way for companies to diversify and is often referred to as corporate venturing or new business development.

2.3. Using Alliances/ Joint Ventures.

2.3.1. A corporate alliance or joint venture is an arrangement or relationship among independent businesses with corresponding goals, established for a specific purpose and often for reducing costs. The alliance is usually co-managed by members from each business and they agree to share equal risk and opportunity.

2.3.2. Useful in at least three types of situations.

- Pursuing an opportunity that is too complex, uneconomical, or risky for one company to pursue alone.
- When the opportunities in a new industry require a broader range of competencies and know-how than a company possesses.
- To diversify into a new industry when the diversification move entails having operations in a foreign country.

3. Choosing a mode of Entry.

3.1. Does the company have all the resources and capabilities it requires to enter the business through internal development or is it lacking some critical resources?

3.2. Are there barriers to overcome and what are they?

3.3. Is speed an important factor in the firm's chances for successful entry?

3.4. Which is the least costly mode of entry, given the company's objectives?

4. **Choosing the Diversification Path.**

4.1. **Related Diversification.**

4.1.1. Related diversification involves entering businesses with competitively valuable cross-business value chain and resource commonalities.

4.1.2. A firm implements a related diversification strategy when it operates in multiple industries or markets simultaneously.

4.2. **Unrelated Diversification.**

4.2.1. Unrelated diversification involves entering businesses that have dissimilar value chains and resource requirements, with no competitively important cross-business commonalities at the value chain level.

5. **Evaluating the Strategy of a Diversified Company.**

5.1. The procedure for evaluating a diversified company's strategy and deciding what actions to take to improve the company's performance involves six steps:

5.1.1. Assessing the attractiveness of the industries the company has diversified into.

5.1.2. Assessing the competitive strength of the company's business units and drawing a matrix to simultaneously portray industry attractiveness and business unit competitive strength.

5.1.3. Evaluating the extent of cross-business strategic fit along the value chains of the company's various business units.

5.1.4. Checking whether the firm's resources fit the requirements of its present business lineup.

5.1.5. Ranking the performance prospects of the businesses from best to worst and determining what the corporate parent's priorities should be in allocating resources to its various businesses.

5.1.6. Crafting new strategic moves to improve overall corporate performance.

5.2 **Attractiveness of the Industry.**

5.2.1. Gauging the attractiveness.

- Market size & projected growth rate- Directly proportional with attractiveness.
- Intensity of Competition. Weaker competition – more attractive.
- Emerging opportunities & Threats. Minimal threats more attractive.
- Resource requirements. integral resources - more attractive.
- Industry Profitability. Higher margins -more attractive.

5.2.2. Interpreting the industry attractiveness is important in order to align business capabilities with the opportunities in the market.

5.3. **Evaluating Business Unit Competitive Strength.**

5.3.1. Measures to gauge Competitive strength.

- Relative market share. The ratio of its market share to that held by its largest rival in the industry, ***measured in unit volume not cost.***
- Costs relative to competitors cost. Lower costs – stronger position.
- Ability to match or beat rivals on key product attributes.
- Brand image and reputation.
- Profitability relative to competitors.

5.4. **Checking for good Resource Fit.**

5.4.1. Resource fit is when businesses have matching specialized resource requirements along their value chains that enable it to support its business needs and add value.

5.4.2. The businesses in a diversified company's lineup need to exhibit good resource fit.

5.4.3. There are two basic areas when looking for resource fit - financial resource fit and nonfinancial resource fit.

5.4.4. The most important dimension of financial resource fit concerns whether a diversified company can generate the internal cash flows to fund the requirements of its businesses.

5.4.5. Good financial fit-

- **individual businesses should not present financial challenges**
- **adequate financial strength to fund its different businesses**

5.4.6. Good nonfinancial fit –

- **Capability to develop resources needed to be successful.**
- **Stretching of resources.**

Chapter – 8: International Business

- **Monolingualism** is a sign that a nation suffers from parochialism and it can often lead to other problems.
- **Ethnocentrism** is the belief in the intrinsic superiority of the nation, culture, or group to which one belongs, accompanied by feelings of dislike for other groups.
- When management has an **ethnocentric attitude** that the only **best work approaches and practices are those from the home country**.
- A **polycentric attitude** is the view by home office management that the employees in the host country know the best work approaches and practices.
- A **geocentric attitude** is the view by management that focuses on using the best approach and people from around the globe.
- The **recency effect** is an order of presentation effect that occurs when more recent information is better remembered and receives greater weight in forming a judgment than does earlier-presented information.

1. Why Company's Decide to Enter Foreign Markets.

1.1. **To gain access to new customers.** Expanding into foreign markets offers potential for increased revenues, profits, and long-term growth.

1.2. To achieve lower costs through economies of scale, experience, and increased purchasing power.

1.3. To gain access to low-cost inputs of production.

1.4. To further exploit its own competencies.

1.5. To gain access to resources and capabilities located in foreign markets.

2. **Multi Country Strategy - A complex factor.** Reasons for a complex strategy.

2.1. Understanding of the differences of different countries & industries.

2.2. Demand Conditions - Location based advantages for value chain activities

2.3. Different political and economic conditions

2.4. Adverse shifts in currency rates, when operating in foreign markets.

2.5. Differences in buyer tastes and preferences

3. **Strategic Options for entering International Markets.**

3.1. **Export Strategy.**

3.1.1. Maintain a home country production base and export goods to foreign markets.

3.1.2. Advantages – limited investment, test international markets.

3.1.3. Export strategy is vulnerable when:

- Manufacturing costs in the home country are substantially higher
- Adverse shifts occur in exchange rates.
- The costs of shipping the product to distant foreign markets are relatively high.
- Importing countries impose tariffs or erect other trade barriers.

3.2. **Licensing Strategies.**

3.2.1. License foreign firms to produce and distribute the company's products abroad.

3.2.2. Licensing as an entry strategy makes sense when a firm with valuable technical knowledge, an appealing brand, or unique patented product, has neither the internal organizational capabilities nor resources.

3.2.3. The big disadvantage of licensing is the risk of providing valuable technological know-how to foreign companies and thereby losing some degree of control over its use.

3.3. **Franchising Strategy.**

3.3.1. Employ a franchising strategy in foreign markets.

3.3.2. franchising is often better suited to the international expansion of service and retailing enterprises.

3.3.3. The franchisee bears most of the costs and risks of establishing foreign locations; as the franchisor only has to expend the resources to recruit, train, support, and monitor franchisees.

3.4. **Foreign Subsidiary Strategy.**

3.4.1. Establish a subsidiary in a foreign market via an acquisition or internal development.

3.4.2. Foreign subsidiary strategies types - acquisition of an existing foreign company or a greenfield venture.

3.4.3. Acquiring existing local businesses is the quicker approach; it may also be the least risky and most cost-efficient.

3.4.4. A **greenfield** venture or internal startup is a subsidiary business that is established by setting up the entire organization from the ground up.

3.5. **Alliance & Joint venture Strategies.**

3.5.1. Rely on strategic alliances or joint ventures (JVs) with foreign companies.

4. **International Strategy.**

4.1. An international strategy is a strategy for competing in two or more countries simultaneously.

4.2. **Multidomestic Strategies- Think Local, Act Local Approach.**

4.2.1. A strategy wherein a company varies its product offering and

4.2.2. competitive approach from country to country in an effort to meet differing buyer needs and to address divergent local market conditions.

4.3. **Global Strategies – Think Global, Act Global.**

4.3.1. A global strategy is a standardized, globally integrated approach to producing, packaging, selling, and delivering the company's products and services worldwide.

4.3.2. Global strategies are characterized by relatively centralized value chain activities, such as production and distribution.

5. **International Operations: Competitive Advantage.**

5.1. Using Location. a company must consider whether to concentrate each activity it performs in a select few countries or to disperse performance of the activity to many nations and decide what countries to locate the particular activities.

5.2. Sharing & Transferring resources & Capabilities across borders to build competitive advantage.

5.3. Cross Border Coordination.

6. **Cross Border Strategic Moves.**

6.1. Profit sanctuaries are country markets or geographic regions in which a company derives substantial profits because of a strong or protected market position.

6.2. Companies that compete globally are likely to have more profit sanctuaries than companies that compete in just a few country markets. A domestic competitor only has its home market as a profit sanctuary.

6.3. **Using Profit Sanctuaries to wage Strategic Offensive.** Cross-market subsidization is a powerful competitive move in one market using the resources and profits diverted from operations in another market.

6.4. **Using Profit Sanctuaries to defend against International Rivals.**

7. **Strategies for Competing in Markets of Developing Countries.**

7.1. Prepare to compete on the basis of low price.

7.2. Modify aspects of the company's business model to accommodate the unique local circumstances in developing countries.

7.3. Try to change the local market to better match the way the company does business elsewhere.

Chapter. – 9 : Building an Organization capable of Good Strategy Execution

1. **Building Organization Capable of Good Strategy Execution.**

1.1. Staffing the Organization.

1.2. Acquiring developing, and strengthening the resources and capabilities required for good strategy execution.

1.3. Structuring the organization and work effort.

2. **Approaches to Building & Strengthening Capabilities.**

2.1. Stretch objectives should be demanding and require an extra effort beyond what is normally expected; but the objectives must be achievable or risk being viewed as unattainable and, thus, demotivating.

2.2. Managerial actions to develop core competencies and competitive capabilities generally take one of two forms - strengthening the company's base of skills, knowledge, and experience, and enabling the coordination and integration of the various work groups and departments.

3. **Matching Organizational Structure to Strategy.**

3.1. **Deciding which activity to be performed internally & Outsourced.**

3.1.1. Should facilitate lowering costs or improving quality.

3.1.2. Outsourcing facilitates to flatten the organizational structure.

3.2. **Aligning the Firms organization structure with its Strategy.**

3.2.1. A company's organizational structure comprises the formal and informal arrangement of tasks, responsibilities, lines of authority, reporting relationships, and processes of communication by which the firm is administered.

3.2.2. Types of Organizational Structure.

<u>Attribute</u>	<u>Simple</u>	<u>Functional</u>	<u>Multidivisional</u>	<u>Matrix</u>
Definition	Central executive handles all major decisions and oversees the organization with the help of a small staff.	Known as a departmental structure , firm is organized along functional lines, where a function represents a major component of the firm's value chain	Decentralized structure consisting of a set of operating divisions organized based on requirements.	Combination structure in which the firm is organized along two or more dimensions at the same time
Hierarchy	Few levels of hierarchy and this flat structure	functional managers to focus on their area of responsibility	Multidivisional structures are also common among vertically integrated firms.	
Employment	Employed by small firms and entrepreneurial startups	Large Organizations	Common among companies that pursue some form of diversification strategy or international strategy,	
Advantages	low costs, ease of coordination, flexibility, quick decision-making, adaptability	Aligning task specialization	facilitating the management of a complex and diverse set of operations.	more balanced supervision perspective balanced and collaborative team approach.

Chapter- 10 : Managing Internal Operations

1. Allocating Resources to the Strategy Execution Effort.

1.1. The managers need to be deeply involved in reviewing budget proposals and directing the right amount of resources to strategy critical organizational units.

1.2. A change in strategy almost always requires budget reallocations and resource shifting.

2. Instituting Policies & Procedures that Facilitate Strategy Execution.

2.1. A company's policies and procedures can either support or hinder strategy execution.

2.2. Well-conceived policies and operating procedures facilitate strategy execution in three ways.

2.2.1. By providing top-down guidance regarding how things need to be done.

2.2.2. By helping ensure consistency in how execution-critical activities are performed.

2.2.3. By promoting the creation of a work climate that facilitates good strategy execution.

2.3. **"Goldilocks Moment"** when there are enough policies, consistently applied, to give organizational members clear direction and place reasonable boundaries on their actions, while empowering them to act within the boundaries in pursuit of company goals.

3. Adopting & Adapting Best Practices, Employing Process Management Tools

3.1. The role of **benchmarking** is to **look outward** to find best practices and then to develop the data to measure how well a company's or a functional unit's own performance of an activity compares to what might be viewed as the best-practice.

3.2. Employing **best practices** adapted to the specific organization can improve internal operations and strategy execution, which has powerful appeal.

3.3. **Business process reengineering** involves radically redesigning and streamlining how an activity (or category of activities) should be performed with the intent of achieving quantum improvements in their performance.

3.4. **Total Quality Management** entails creating a total quality culture involving managers and employees at all levels, focused on continuously improving the performance of every value chain activity.

3.5. **Six Sigma** programs utilize advanced statistical methods to improve quality by reducing defects and variability in the performance of business processes.

3.6. The difference among best practices & reengineering Vs TQM & Six Sigma : best practices and reengineering employed by individual managers and functional leaders, separated from the broader management philosophy that involves TQM & Six Sigma.

4. Information & Operating Systems: Means for Improving Strategy Execution.

4.1. Well-conceived, state-of-the-art operating systems not only enable better strategy execution but also strengthen organizational capabilities - at times enough to provide a competitive edge over rivals.

4.2. Information systems need to cover five broad areas:

4.2.1. Customer data

4.2.2. Operations data

4.2.3. Employee data

4.2.4. Supplier and/or strategic partner data

4.2.5. Financial performance data

5. Managing Operations During & After Pandemic.

5.1. There are six mutually reinforcing approaches that underlie the **success of managers**: (1) being **ever-curious** about every element of a problem; (2) being imperfectionists, with a high **tolerance for ambiguity**; (3) having a **"dragonfly eye"** view of the world, to see through multiple lenses; (4) pursuing occurrent behavior and experimenting relentlessly; (5) tapping into the **collective intelligence**, acknowledging that the smartest people are not in the room; and (6) practicing **"show and tell"** because storytelling begets action.

6. **For an incentive compensation system to work out well the following should occur**: (1) the performance payoff should be a major percentage of the total compensation package, (2) the use of incentives should extend to all managers and workers, although they would be expected to differ on percentages based on level, (3) the system should be administered with objectivity and fairness, (4) each individual's performance targets should involve outcomes the person can personally influence through performance, (5) rewards should promptly follow the achievement of the performance targets, often within a fiscal or calendar year, and (6) rewards should be given for results not effort. No incentive is an incentive if it is guaranteed.

Chapter – 11: Corporate Culture & its Impact on Strategy Execution

1. Instilling a Corporate Culture.

- **A company's corporate culture is mirrored in the character or "personality" of its work environment – DNA of the Company.**

1.1. **Identifying Key Features of a Company's Corporate Culture.**

1.1.1. The values stated, the business principles and ethical standards that management preaches and practices.

1.1.2. The company's approach to people management and the official policies, procedures, and operating practices

1.1.3. The atmosphere and spirit that pervades the work climate and determines the nature and extent that the workplace is competitive or cooperative, innovative or resistant to change, collegial or politicized, strictly business or fun-loving

1.1.4. How managers and employees interact and relate to one another

1.1.5. The strength of peer pressure to do things in particular ways and conform to expected norms.

1.1.6. The actions and behaviors that management explicitly encourages and rewards.

1.1.7. The company's revered traditions and oft-repeated stories about "heroic acts" and "how we do things around here."

1.1.8. The manner in which the company deals with external stakeholders.

1.2. **Role of Core Values & Ethics.**

1.2.1. The foundation of a company's corporate culture nearly always resides in its dedication to certain core values and the bar it sets for ethical behavior.

1.2.2. A company's stated core values and ethical principles have two roles in the culture building process.

- A company that works hard at putting its stated core values and ethical principles into practice fosters a work climate in which company personnel share strongly held convictions about how the company's business is to be conducted.

- The stated values and ethical principles provide company personnel the guidance about the manner in which they are doing their jobs

1.3. Embedding Behavioral Norms in the Organization.

- 1.3.1. Screening applicants and hiring those who will mesh well with the culture.
- 1.3.2. Incorporating discussions of the company's culture and behavioral norms into orientation programs.
- 1.3.3. Having senior executives frequently reiterate the importance and role of company values and ethical principles.
- 1.3.4. Expecting managers at all levels to be cultural role models.
- 1.3.5. Making the display of cultural norms a factor in evaluating each person's job performance.
- 1.3.6. Stressing that line managers all the way down to the first-line supervisors give ongoing attention to explaining the desired cultural traits and behaviors.
- 1.3.7. Encouraging company personnel to exert strong peer pressure on coworkers to conform to expected cultural norms.
- 1.3.8. Holding periodic ceremonies to honor people who excel in displaying the company values and ethical principles.

2. Strong Vs Weak Culture.

2.1. Strong Culture Companies.

- 2.1.1. Dominating presence of deeply rooted values, business principles, and behavioral norms that regulate the conduct of company personnel and determine the climate of the workplace.
- 2.1.2. Senior managers make a point of explaining and reiterating why these values, principles, norms, and operating approaches.
- 2.1.3. Senior leaders make a conscious effort to display the values, principles, and behavioral norms in their own actions.
- 2.1.4. Important outcomes of strong Culture:
 - People who tend to dislike the culture or who are poor cultural fits will leave.
 - Individuals encounter strong peer pressure from coworkers to observe the culturally approved norms and behaviors.
- 2.1.5. Factors contributing for the development of strong cultures:
 - A founder or strong leader who established core values, principles, and practices that are viewed as having contributed to the success of the company.
 - A sincere, long-standing company commitment to operating the business according to these established traditions and values.
- 2.1.6. Norms in a strong corporate culture typically do not change much as strategy evolves, either because the culture constrains the choice of new strategies or because the dominant traits of the culture are somewhat strategy-neutral and compatible with evolving versions of the company's strategy.

2.2. Weak Culture Companies.

- 2.2.1. Weak-culture companies lack widely shared and strongly held values, principles, or behavioral norms.
- 2.2.2. Lack cultural mechanisms for aligning, constraining, and regulating the actions, decisions, and behaviors of company personnel.
- 2.2.3. Absence of any long-standing top management with a commitment to a particular set of values, beliefs, operating practices, and behavioral norms, individual workers will encounter little pressure to do things in organizationally accepted ways.

2.2.4. No strong employee allegiance to what the company stands for or to operating the business in well-defined ways.

2.2.5. Weak cultures provide little or no assistance in executing strategy.

3. Healthy Cultures That Aid Good Strategy Execution.

3.1. High Performance Culture.

3.1.1. High performance cultures where the standout traits are a "**can-do**" spirit, pride in doing things right, no-excuses accountability, and a pervasive results-oriented work climate in which people go all out to meet or beat stretch objectives.

3.1.2. Strong sense of involvement on the part of company personnel and emphasis on individual initiative and effort.

3.1.3. Performance objectives are clearly delineated for the company as a whole, for each individual unit, and for each employee.

3.1.4. Issues and problems are promptly addressed.

3.1.5. The clear and unyielding expectation is that all company personnel, from the senior executives to frontline employees, will display high-performance behaviors and a passion for making the company successful.

3.2. Adaptive Culture.

3.2.1. Adaptive culture is a willingness by organizational members to take on the challenges of introducing and executing new strategies.

3.2.2. Adaptation is only possible because the entire organization is receptive to the risk taking, experimentation & innovation.

3.2.3. Work climate is supportive of managers and employees who propose or initiate useful change.

3.2.4. Internal initiative on the part of individuals and groups is encouraged and rewarded.

3.2.5. Managers in adaptive cultures openly discuss and evaluate ideas.

3.2.6. Strategies and traditional operating practices are modified as needed to adjust or take advantage of changes in the Business environment.

3.2.7. Technology companies, software companies, and Internet-based companies are good illustrations of organizations with adaptive cultures.

4. Unhealthy Cultures That Impede Good Strategy Execution.

4.1. Hostile or Change-Resistant Cultures.

4.1.1. Change resistance cultures are those where fear of change and skepticism about the importance of new developments are the norm.

4.1.2. We see in these environments there is a premium on not making mistakes; which places a notable amount of stress on managers to lean on safe, conservative options.

4.1.3. Change resistant cultures encourage a number of unhealthy behaviors - avoiding risks, not capitalizing on emerging opportunities, taking a lax approach to both product innovation and continuous improvement in performing value chain activities.

4.1.4. Word quickly gets around that proposals to do things differently face an uphill battle and that people who champion them may be seen as a nuisance or troublemaker, or a poor cultural fit.

4.1.5. Hostility or resistance to change is most often found in companies with inflexible bureaucratic forms that have enjoyed considerable market success in past years.

4.2. **Politicized Cultures.**

4.2.1. What makes a politicized internal environment so unhealthy is that political infighting consumes a great deal of organizational energy, often with the result that what's best for the company takes a backseat to political maneuvering.

4.2.2. Where internal politics pervades the work climate, empire-building managers pursue their own agendas and operate work units under their supervision as autonomous "**fiefdoms.**"

4.2.3. The positions they take on issues are usually aimed at protecting or expanding their own turf.

4.2.4. Collaboration with other organizational units is looked upon with suspicion

4.2.5. The support or opposition of politically influential executives and/or coalitions among departments with vested interests in a particular outcome tends to shape what actions the company takes.

4.2.6. The development of strategy is tempered by the politics of the senior management.

4.3. **Insular, Inwardly Focused Cultures.**

4.3.1. Sometimes a company reigns as an industry leader or enjoys great market success for so long that its personnel start to believe they have all the answers or can develop them on their own – **Sense of Complacency.**

4.3.2. There is a strong tendency to neglect what customers are saying and how their needs and expectations are changing.

4.3.3. Insular thinking, internally driven solutions, and a "must-be invented here" mindset come to permeate the corporate culture.

4.3.4. An inwardly driven focus on corporate culture creates the belief that developing people internally is the single best criteria for creating effective managers.

4.3.5. The big risk of insular cultural thinking is that the company can overestimate its capabilities and underestimate those of competitors, which diminishes a company's competitiveness over time.

4.4. **Unethical and Greedy Cultures.**

4.4.1. Senior managers wink at unethical behavior if it seems to aid in revenue capture, and they may even cross over the line to unethical and sometimes criminal behavior themselves.

4.4.2. They are prone to adopt accounting practices that make financial performance look better than it really is.

4.5. **Incompatible, Clashing Subcultures.**

4.5.1. Not unusual for companies to have **multiple cultures or subcultures.**

4.5.2. Values, beliefs, and practices within a company sometimes will vary significantly by department, geographic location, division, or business function/unit.

4.5.3. Clashing subcultures can prevent a company from conducting the business of the business.

4.5.4. Internal jockeying among the subcultures for cultural dominance impedes teamwork among the company's various organizational units and blocks the emergence of a collaborative approach to strategy execution.

5. **Changing A Problem Culture.**

5.1. Steps in executing change.

5.1.1. Identification of obstacles. The top management to identify those facets of the present culture that are dysfunctional and pose obstacles to executing strategic initiatives.

5.1.2. Managers must clearly define the desired new behaviors and features of the culture they want to create.

5.1.3. Managers must convince company personnel why the present culture poses.

5.1.4. Execution of visible and forceful actions to promote the desired new behaviors and work practices. The actions to implant the new culture must be both substantive and symbolic.

6. Leading the Strategy Execution Process.

6.1. The drive for good strategy execution and operating excellence calls for three actions on the part of the managers in charge, irrespective of their position:

6.1.1. Staying on top of what is happening and closely monitoring progress.

6.1.2. Putting constructive pressure on the organization to execute the strategy well and achieve operating excellence.

6.1.3. Initiating corrective actions to improve strategy execution and achieve the targeted performance results.

6.2. Initiating Corrective actions.

6.2.1. The process in deciding on corrective action is the same for both proactive and reactive decisions.

6.2.2. It includes, an understanding of the situation what may be needed, the ability to gather information to broaden and deepen their understanding so as to develop options, explore the pros and cons, put forth action proposals, strive for consensus, and formally adopt an agreed upon course of action.

Chapter – 12 : Key Business Measurements & Metrics

1. Financial Planning & Budgeting.

1.1. Financial planning process is the basis for creating budgets.

1.2. All functions within a business will have a budget that is the basis for its operation.

1.3. Develop strategic plans that look and feel different than in previous years.

1.4. Security professionals have a better understanding of business measurements and metrics.

2. Key Measurements.

2.1. Budgeting.

2.1.1. The basic process of planning a budget involves listing your business's costs on a monthly basis and then deciding on the allocation of funds to pursue the stated goals.

2.1.2. Includes **Fixed Costs or Overhead expenses & Variable Costs.**

2.1.3. Fixed costs or overhead expenses are **not dependent on the goods or services produced** by the business.

2.1.4. Master Budget.

- Master budget is a financial projection for the overall company and forecast the entire fiscal year.

- The master budget is the basis for all operating budgets - functions, departments, divisions, and single business units.

2.1.5. Operating Budget.

- Includes the expenses and revenue generated from the day-to-day business operations of the company.

- The operating budget focuses on the daily/monthly expenses that are projected for each period.

2.1.6. Traditional Budgeting Process.

- The budget of the previous year serves as the base for the next year's budget and the the prospective year budget is created by making adjustments to the budget of the past year.
- There is no review of the expenditures to determine if they are still valid and necessary and only analyzes the proposed new expenditures in depth.

<u>Advantages</u>	<u>Disadvantages</u>
Offers solid framework – based on reference point	Time consuming & Higher chances of human error
Encourages Decentralization.	Doesn't encourage innovative behavior
Part of organizational culture.	Inaccurate predictions. Eg COVID – 19.

2.1.7. Zero Based Budgeting Process.

- Zero-based budgeting (ZBB) is a method of budgeting in which all expenses must be justified and approved for each new period.
- Starts from a "zero base" at the beginning of every budget period analyzing needs and costs of every function within an organization and allocating funds accordingly, regardless of how much money has previously been budgeted to any given line item.
- The concept behind zero-based budgeting is to have managers justify what they propose to spend, in order to minimize costs.
- Steps in building a zero-based budget.
 - **Forecast the organization's revenue** to determine the funds available for funding the upcoming budgeting period.
 - **Establish the organization's goals** for the coming budget period.
 - Once the top-line objective is determined, **work backwards to determine what resources are needed** to accomplish that goal.
 - Determine cost of resources and whether the expenditure will help achieve the goal.
 - Evaluate all expenses, whether or not they are within the spending parameters needed to achieve the organization's goal, to determine if they make sense.
 - Move forward and implement the budget.

<u>Advantages</u>	<u>Disadvantages</u>
Deliberate Analysis – Discard unjustified cost.	Results in lower cost for the organization – restricted budgets for secondary functions.
Restricts Inflationary costs inclusion.	Promotes short term thinking within the organization as focuses on reducing costs.
	Resource intensive

2.1.8. Profit & Loss Statement.

- P&L statement is a financial document that summarizes the **revenues, costs, and expenses** incurred during a specified period of time.
- The P&L statement - also known as the **income statement** - provides information about a company's ability or inability to generate profit by increasing revenue, reducing costs, or both.
- **The "big" three financial statements are: P & L Statement, balance sheet and the cash flow statement.**
- The P&L can be used to calculate several metrics, including the gross profit margin, the operating profit margin, the net profit margin and the operating ratio.

2.1.9. Balance Sheet.

- The balance sheet displays the company's total assets, and how these assets are financed - through debt or equity.
- Also referred to as a statement of net worth, or a statement of financial position.
- The balance sheet is based on the fundamental equation: **Assets = Liabilities + Equity.**
- In sum, the balance sheet is a snapshot, representing the state of a company's finances (what it owns and owes) as of the date of publication.

2.1.10. Cash Flow Statement.

- Focuses on the types of activities that create and use cash, which are operations, investments and financing.
- Cash flows in the statement are divided into the following three areas:
- Operating Activities: These constitute the revenue-generating activities of a business.
- Investing Activities: These constitute payments made to acquire long-term assets, as well as cash received from their sale.
- Financing Activities: These constitute activities that will alter the equity or borrowing of a business.
- Net Income. It represents the company's net earnings after expenses have been deducted from total sales. This might also be called "profit" or "the bottom line."
- Profit, in basic business usage, is the excess of total revenue over total cost - the difference between the amount a business earns and what it spends - during a specific period of time.
- Net income is the renowned bottom line. $\text{Net Income} = \text{Net revenues} - \text{expenses, interest, and taxes.}$

3. Key Metrics.

3.1. Cash Ratio.

3.1.1. The cash ratio determines how financially able a company is to satisfy short-term liabilities with cash and cash equivalents.

3.1.2. Also referred to as the cash asset ratio, this tells how capable a business is of satisfying short-term debts, usually those occurring in 12 months or less, with cash and cash equivalents only.

3.1.3. If a company's cash ratio is greater than 1.0 the business has the ability to cover all short-term debt and still have cash remaining.

3.2. Operating Cash Flow Ratio.

3.2.1. This ratio measures how efficiently a business can meet present liabilities from the cash flow of its core business operations. It tells a company the number of times it can satisfy its liabilities based on the amount of cash it generated over a certain time-frame.

3.2.2. This ratio can also include accruals (money accounted for but not received or spent), giving a fair estimate of a business's short-term liquidity.

3.2.3. **Operating Cash Flow Ratio = Cash Flow from Operations / Current Liabilities**

3.2.4. If the ratio is less than 1.0 the amount of cash generated from operations is insufficient to satisfy short-term liabilities and raises questions of how a company will fund its business.

3.2.5. This ratio is commonly used by creditors and lenders when deciding whether to extend credit (loans) to a business.

3.3. Gross Profit Margin Ratio.

3.3.1. The total gross profit is sales revenue minus the cost of goods sold.

3.3.2. Cost of goods sold represents how much the company paid to sell products during a given period.

3.3.3. **Gross Profit Margin Ratio = (Gross Profit - Sales) × 100**

3.3.4. If the gross profit margin is high, it means a company gets to keep more money relative to the cost of the products.

3.4. Operating Profit Margin Ratio.

3.4.1. The operating profit margin provides a good look at a company's current earning power.

3.4.2. Unlike gross profit, which management would prefer to be stable, an increase in the operating profit margin illustrates a healthy company.

3.4.3. **Operating Profit Margin Ratio = (Operating Income ÷ Sales) × 100**

3.5. Net Profit Margin Ratio.

3.5.1. Net profit margin, sometimes referred to as just "profit margin," is the big-picture view of your profitability, because it is grounded by industry comparisons.

3.5.2. **Net Profit Margin Ratio = (Net Income ÷ Sales) × 100**

3.5.3. The net profit margin is equal to how much net income or profit is generated as a percentage of revenue.

3.5.4. Net profit margin is the ratio of net profits to revenues for a company or business segment.

3.5.5. Net profit margin is typically expressed as a percentage but can also be represented in decimal form.

3.6. Return on Assets.

3.6.1. It indicates how good the company is at turning its investments into a profit.

3.6.2. ROA measures how successfully the company uses the assets at its disposal to improve its bottom line.

3.6.3. Return on assets is displayed as a percentage.

3.6.4. The higher the ROA, the more efficiently a company is said to operate.

3.6.5. **Return on Assets = (Net Income Before Taxes ÷ Total Assets) × 100**

3.6.6.

3.7. Return on Investment.

3.7.1. Return on Investment (ROI) is a performance measure used to evaluate the efficiency of an investment or compare the efficiency of a number of different investments.

3.7.2. ROI tries to directly measure the amount of return on a particular investment, relative to the investment's cost.

3.7.3. **Return on Investment = current value of an investment - cost of the investment ÷ cost of the investment**

3.8. Internal Rate of Return (IRR).

3.8.1. IRR is a means to measure investment performance.

3.8.2. If the IRR of a new project exceeds a company's required rate of return — considered to be the firm's desired "hurdle rate" — that project will most likely be accepted.

3.9. Hurdle Rate.

3.9.1. A hurdle rate refers to the rate of return that is the net gain of an investment over a specified time period, expressed as a percentage of the investment's initial cost.

3.9.2. The hurdle rate describes the appropriate return or savings for the level of risk present.

3.9.3. Riskier projects generally have higher hurdle rates and, correspondingly, higher rates of return than those with less risk.

3.10. Current Ratio.

3.10.1. It is a liquidity ratio.

3.10.2. Current ratio measures a company's ability to pay short-term obligations - those due within one year.

3.10.3. The current ratio compares all of a company's "current" assets to its current liabilities — be aware that this is as opposed to "total" assets and liabilities.

3.10.4. The current ratio calculation looks at assets that are cash or will be turned into cash in a year or less, and liabilities that will be paid in a year or less.

3.10.5. **Current Ratio = Current Assets ÷ Current Liabilities**

3.11. Debt Ratio

3.11.1. The debt ratio is a financial ratio that measures the extent of a company's indebtedness (leverage).

3.11.2. The debt ratio is defined as the ratio of total debt to total assets, expressed as a decimal or percentage.

3.11.3. It can be interpreted as the proportion of a company's assets that are financed by debt.

3.11.4. **Debt ratio = Total Debt ÷ Total Assets**

3.11.5. A debt ratio greater than 1.0 (100%) tells you that a company has more debt than assets.

3.12. Leverage.

3.12.1. Leverage is an investment strategy of using borrowed money - specifically, the use of various financial instruments or borrowed capital — to increase the potential return of an investment.

3.12.2. Leverage can also refer to the amount of debt a firm uses to finance assets.

3.12.3. It is important to keep in mind that leverage comes in several varieties, including operating, financial, and combined leverage.

3.13. **Return on Equity.**

3.13.1. Return on equity (ROE) is a measure of financial performance calculated by dividing net income by equity.

3.13.2. ROE is considered a measure of how effectively management is using a company's assets to create profits.

3.13.3. As a shortcut, analysts can consider a ROE near the long-term average of the S&P 500 (14 percent) as an acceptable ratio and anything less than 10 percent as poor.

3.13.4. **ROE = Net Income ÷ Equity**

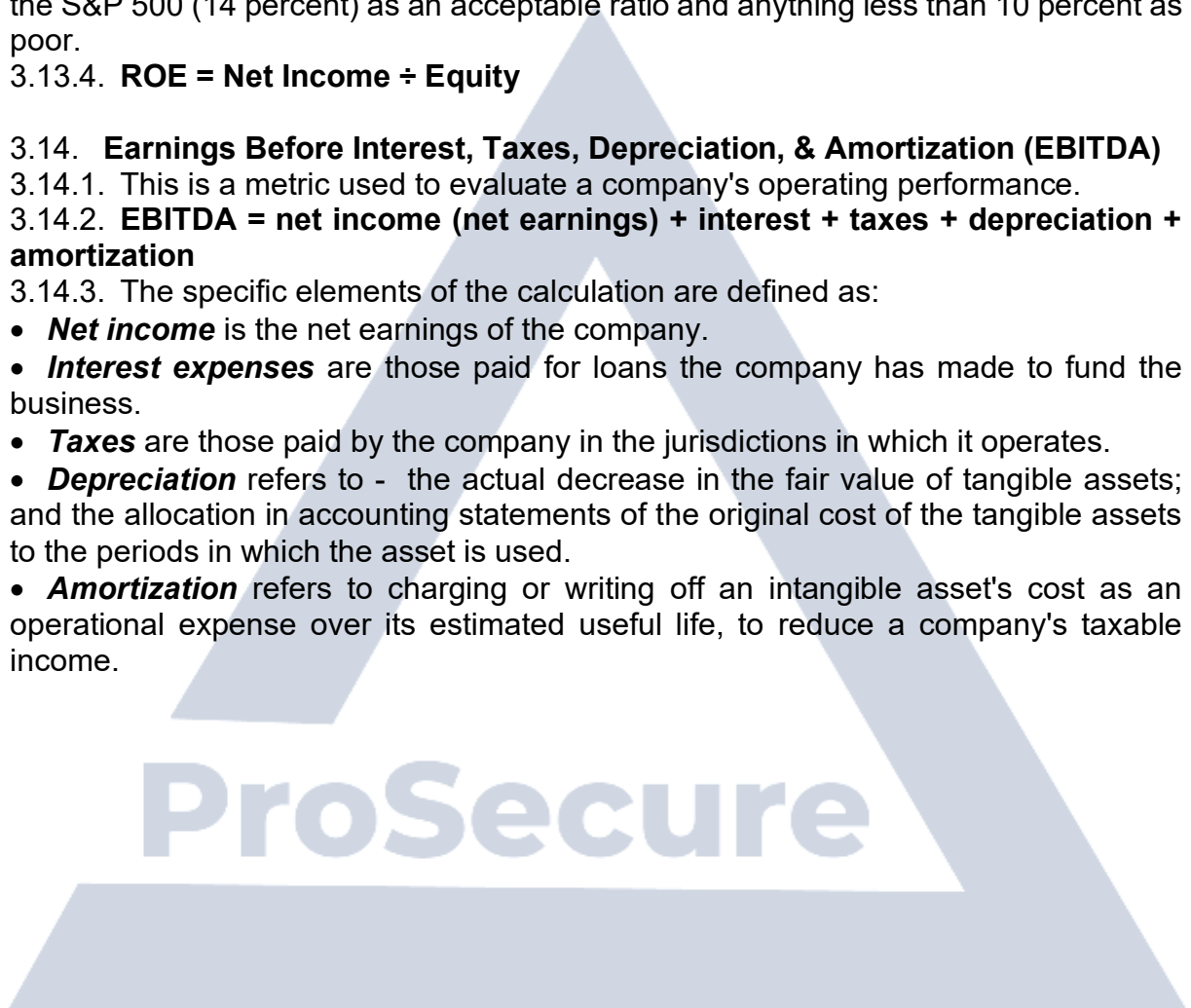
3.14. **Earnings Before Interest, Taxes, Depreciation, & Amortization (EBITDA)**

3.14.1. This is a metric used to evaluate a company's operating performance.

3.14.2. **EBITDA = net income (net earnings) + interest + taxes + depreciation + amortization**

3.14.3. The specific elements of the calculation are defined as:

- **Net income** is the net earnings of the company.
- **Interest expenses** are those paid for loans the company has made to fund the business.
- **Taxes** are those paid by the company in the jurisdictions in which it operates.
- **Depreciation** refers to - the actual decrease in the fair value of tangible assets; and the allocation in accounting statements of the original cost of the tangible assets to the periods in which the asset is used.
- **Amortization** refers to charging or writing off an intangible asset's cost as an operational expense over its estimated useful life, to reduce a company's taxable income.

A large, light blue watermark of the ProSecure logo is centered on the page. It features a large, stylized letter 'A' that serves as a background for the word 'ProSecure' in a bold, sans-serif font.

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